

doing all the buying hailed from the Midwest, he immediately thought of his friend Warren Buffett, and decided to give him a call.

“Well, Warren, what’s going on?” Keough began. “You don’t happen to be buying any shares of Coca-Cola?” Buffett paused and then said, “It so happens that I am, but I would appreciate it if you would stay quiet about it until I disclose my ownership.”<sup>23</sup> If word had ever gotten out that Buffett was buying Coca-Cola shares, it would have created a rush of buying, ultimately driving the share price higher, and he was not done adding to Berkshire’s position.

By the spring of 1989, Berkshire Hathaway shareholders learned that Buffett had spent \$1.02 billion buying Coca-Cola shares. He had bet a third of the Berkshire portfolio, and now owned 7 percent of the company. It was the single-largest Berkshire investment to date, and already Wall Street was scratching its head. Buffett had paid five times book value and over 15 times earnings, then a premium to the stock market, for a hundred-year-old company that sold soda pop. What did the Wizard of Omaha see that everyone else missed?

Coca-Cola is the world’s largest beverage company. It sells more than 500 different sparkling and still refreshments in over 200 countries worldwide. Of those 500, 15 are billion-dollar brands, including Coca-Cola, Diet Coke, Fanta, Sprite, Vitaminwater, Powerade, Minute Maid, Simply, Georgia, and Dell Valle.

Buffett’s relationship with Coca-Cola dates back to his childhood. He drank his first Coke when he was five years old, and soon afterward he started the entrepreneurial venture you may remember from Chapter 1, buying six Cokes for 25 cents and reselling them for five cents each. For the next 50 years, he observed the phenomenal growth of Coca-Cola but purchased instead textile mills, department stores, and farming equipment manufacturers. Even in 1986, when he formally announced that Cherry Coke would become the official soft drink of Berkshire Hathaway’s annual meetings, Buffett had still not purchased one share of Coca-Cola. It wasn’t until two years later, in the summer of 1988, that Buffett began to buy.

## **Tenet: Simple and Understandable**